

The way to assess management's track record is to examine their incentives, learn how they spend their time, and perform scuttlebutt research. Notice that I did not mention listening to investor day presentations or meeting with management. Examining a management team's track record requires a holistic, detailed, and nuanced perspective. Businesses can take a long time to either turn around or to decay. Decisions made 3, 5, and even 10 years ago are likely still impacting the bottom-line today. A manager who appears to be doing a great job may, in fact, be benefiting from seeds planted many years before. Meanwhile, the economic environment in which a company operates often changes, sometimes dramatically. Just as a rising market can make any investment professional seem smarter than he or she is, persistent tailwinds can also make a corporate management team seem smarter than they are. A strength today can be a weakness tomorrow, either through ingrained fragility or simply because the competitive dynamic has shifted. Outsourcing, for example, can fatten a company's profit margins for decades until it becomes evident that it's been taken too far, and the company's basic competencies have been hollowed out. Good capital allocation is crucial; a wonderful business and a talented CEO is not enough to offset poor capital allocation. Too many companies repurchase shares above intrinsic value, pursue value destructive mergers and acquisitions, or fail to adapt their capital allocation in response to changing conditions or emergent opportunities. Capital allocation is one of the most important parts of the track record that must be examined by prospective investors.

Examine Incentives

It has been said that seeing the incentives will explain the outcome. While we know that a long-term perspective is crucial in running a business, there are often unfortunate incentives to become overly short-term oriented. The private owner of a great business isn't